

don't have other high-rate debt, the best move is to pay the entire cost of the car upfront. If not, try to put down at least 20%. If you can't afford that, get a cheaper car—or better yet, a used car.

- **In general, go with the shortest-term loan you can afford.**

The average term on new auto loans is about five years (up from four-year terms just a few years ago). That may be appealing in terms of lower monthly payments, but remember that you'll be paying more interest overall by the time you pay off the car. Many owners have ended up owing more than the car was worth by the time they sold it or traded it in. Just as troubling, some auto makers are offering loans of seven years or even longer to tempt people into buying even more expensive cars, since a longer-term loan reduces the monthly payments. Try to get a loan with a term of four years or less.